a great deal of research. But it is clear that the crucial role was played by international efforts to shore up the exchange value of the dollar—specifically through the Louvre Accord, which was initialed in February 1987 by finance ministers of the leading industrial countries called the Group of Seven—Britain, Canada, France, Italy, Japan, the United States, and West Germany. In the months following the Louvre Accord, the dollar was defended by sterilized intervention in financial markets—that is, domestic interest rates were left unaffected. When the Group of Seven's central banks found that they had to purchase more dollars than they had an appetite for, they changed tactics. After then Japanese Prime Minister Yasuhiro Nakasone's April 1987 visit to Washington, they allowed interest-rate differentials between the United States and other countries to widen until the private sector abroad became willing to hold dollars. In effect the banks privatized the intervention.

What is still unclear is whether it was the sterilized or the unsterilized intervention that actually caused the drop in liquidity. Sterilized intervention transferred large amounts of dollars to the coffers of central banks abroad, and the Federal Reserve Board may have inadvertently failed to inject equivalent amounts into the U.S. domestic money market. Alternatively, it may be that the monetary authorities in Japan and West Germany were afraid of the inflationary implications of unsterilized intervention, and their attempt to rein in their domestic money supplies led to the worldwide rise in interest rates.

I favor the latter explanation, although I cannot rule out the possibility that the former also contributed to the liquidity squeeze. The West Germans harbor a strong anti-inflationary bias. The Japanese are more pragmatic; they did, in fact, allow their interest rates to fall after Nakasone's return to Tokyo. But when the Japanese found that an easy money policy was merely reinforcing the unhealthy speculation in financial assets, including land, they had second thoughts. The government tried to slow the growth of the